GMS WEEKLY

Your Source for Recycling News

March 24th, 2023
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Week 12

Highlights:

- **Price cool.**
- **Market peak?**
- **Above 600/LDT.**
- **Supply slows.**
- **L/C hopes.**
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QUOTE of the WEEK

"We generate fears while we sit. We overcome them by action."

– Henry Link

MARKET COMMENTARY

TENTATIVELY POISED!

Sub-continent markets appear to be more tentatively poised this week, with a cooling demand and lower levels that are increasingly reflective of domestic steel prices and have likely peaked.

Several sales were concluded at impressive numbers over the space of one or (maximum) two weeks before prices started to decline again by about USD 20/LDT, returning to the relative normalities of recent times.

That being said, prices are still trading above USD 600/LDT in Bangladesh and are not too far from that in India, with only Pakistan (and even Turkey) lagging significantly behind and out of the reckoning for another week.

As far as Turkey goes, other than the weekly fluctuation in steel plate prices and the Lira depreciating, not a whole lot has changed with this market that has been deprived of tonnage for a while now.

Overall, the supply of tonnage also seems to have slowed, which is encouraging for Cash Buyers with existing inventories in order to get their desired levels and not distracted by the supposed deluge of tonnage that many ship recyclers have been fearing will greet their shores.

Indeed, container charter rates have picked up from their lows seen earlier this year and so too have dry bulk levels enjoyed a rise in rates, which will see vessels from these two sectors arrive at a slower overall pace over the immediate future.

This will (hopefully) allow both Bangladeshi and Pakistani markets to sort out their chronic L/C financing issues, with it still taking much longer in order to open L/Cs and obtain bank approvals (often if going through state central government banks no approvals are forthcoming at all for the time being).

For week 12 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Positive	610 / LDT*	630 / LDT*	650 / LDT*
2	India	Positive	570 / LDT	580 / LDT	600 / LDT
3	Pakistan	Weak	540 / LDT*	550 / LDT*	560 / LDT*
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

**Subject L/C approval*

All at GMS would like to wish readers a Ramadan Kareem!

BANGLADESH

DOWN A TOUCH!

Concluding sales.

As the leading market of the ship recycling industry, much of the sales activity has been focused into Bangladesh of late, and some tempting sales have taken place on some choice tonnage over the last few weeks.

However, much of that demand appears to have died down a hair this week, off the back of declining steel plate prices (that fell about USD 25/Ton), and the second category of Buyers are at lower levels. Even the Bangladeshi Taka weakened slightly, ending the week at BDT 106.50 against the U.S. Dollar.

Need to up prices.

Overall, the trouble for the market is that the supply of vessels has also eased up, so those hoping to still get their hands-on tonnage will have to up their prices just to secure.

NO MARKET SALES REPORTED

INDIA

CANNOT REST ON LAURELS!

Green challenge.

India remains slightly behind Bangladesh in their bidding on the dwindling supply of ships for recycling and need to be aware of resting on their laurels to avoid missing out on their usually guaranteed supply of HKC green tonnage.

This is because three yards in Bangladesh have obtained NK HKC certification with more seeking to upgrade their facilities similarly. As such, it may be that the advantage India currently holds could start to be increasingly challenged.

HKC sales.

On the domestic fundamentals front, local steel plate prices firmed by about USD 10/Ton while the Indian Rupee still floats around the low Rs. 82 against the U.S. Dollar, providing some much-needed positivity to the local psyche.

Notwithstanding Bangladesh's recent yard certification, certain owners still prefer an HKC sale into India only, but as more yards in the sub-continent are approved, those top level facilities will need to keep pushing themselves and achieving higher standards to keep the top, dark green candidates with them, especially as several container owners have fixed their units for select top yards in India so far this year – including one more private Panamax sized container only this week.

NO MARKET SALES REPORTED

PAKISTAN

SOME WAYS BACK!

Inert and unable.

Pakistan remains some ways back from their Indian and Bangladeshi counterparts, and has largely been unable to perform on any vessels this year due to their lowest prices in the sub-continent, in addition to L/C restrictions, amidst an ongoing currency crisis and liquidity crunch across the country.

Of course, political uncertainty continues to reign, and it is unlikely we will see any serious sales taking place into Pakistan, with so much uncertainty and turmoil gripping much of the nation.

Plots empty out.

With little to no recycled material moving to domestic steel mills, local steel plate prices flatlined through the week as no material was being traded. Even the Pakistani Rupee collapsed to its lowest yet this week as the PKR hit 283.2X during the week.

Even as plots empty out and demand once again rises, prices being offered up are so far off their sub-continent competitors that there is little sense in even discussing units into Aliaga.

However, the fact that most in the industry are still distracted by the higher prices from neighboring competitors is that levels in the USD 500s/LDT are still historically impressive.

NO MARKET SALES REPORTED

TURKEY

UNCHANGED!

As a recycling destination, even though levels are still nearly half of what they are in Bangladesh, the Turkish market has displayed an impressive degree of stability. Although import steel prices fell by about USD 10/Ton, local steel plate prices have remained relatively steady through the week.

Lira breaks records.

Even the Turkish Lira, that has been depreciating steadily against the U.S. Dollar, has ended the week at TRY 19.0X.

There is still no confirmation on local fixtures and domestic yards have remained empty for much of the last few quarters.

Local fixtures.

Overall, little has changed in the Turkish market and the industry is still awaiting local fixtures into Aliaga.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *PEZ candy was invented to help smokers quit. The Austrian PEZ creator named the candies after the German word for peppermint (Pffefferminz). When they were introduced in 1927, they were round mints sold in tins, so you probably wouldn't see a former chain smoker with a Mickey Mouse dispenser.*
- *There's only one Shell gas station shaped like a shell. Eight were built in the 1930s, but the only one left is in North Carolina.*
- *William McKinley was shot right after giving away his good-luck charm. President McKinley always wore a red carnation for good luck but sometimes gave it out as a memento. When greeting the crowd in 1901, he handed a 12-year-old girl, Myrtle, the bloom off his lapel, saying "I must give this flower to another little flower." Minutes later, he was fatally shot by a man in the crowd.*
- *You can see four states from the top of Chicago's Willis Tower. From the top of the former Sears Tower on a clear day, you can see about 40 to 50 miles away—beyond Illinois and out to Indiana, Michigan, and Wisconsin.*
- *The shortest commercial flight in the world is in Scotland. Yes, it's true! Scottish regional airline Loganair operates the shortest commercial flight in the world between the islands Westray and Papa Westray, a distance of 1.7 miles which is scheduled for 90 seconds.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
March 30 – Ram Navami April 04 – Mahavir Jayanthi April 07 – Good Friday April 22 – Eid-ul-Fitr	April 06 – April 12 April 18 – April 25

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
April 14 – Bengali New Year April 19 – Shab-E-Qadr April 21 – April 23 – Eid-ul-Azha	April 06 – April 09 April 19 – April 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
April 05 – Ching Ming Festival	April 22 – April 24 - Eid-ul-Fitr	April 20 – April 24 – Ramazan Bayrami

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ALANG - Port Position as of March 24, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Artica*	*23,667*	*LNG carrier*	*Beached March 23*
2	Halul 20	1,395	Supply Vessel	Arrived March 24
3	Halul 21	1,406	Supply Vessel	Arrived March 24
4	*Levant Horizon*	*3,391*	*General Cargo*	*Beached March 18*
5	*MSC Giovanna*	*11,197*	*Container*	*Beached March 23*
Total Tonnage		**41,056**		

CHATTOGRAM - Port Position as of March 24, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Kash*	*872*	*Reefer*	*Beached March 20*
2	Shravan	7,399	Container	Arrived March 220
Total Tonnage		**8,271**		

GADANI - Port Position as of March 24, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Madina 1	1,657	Tanker	Arrived March 03
Total Tonnage		**1,657**		

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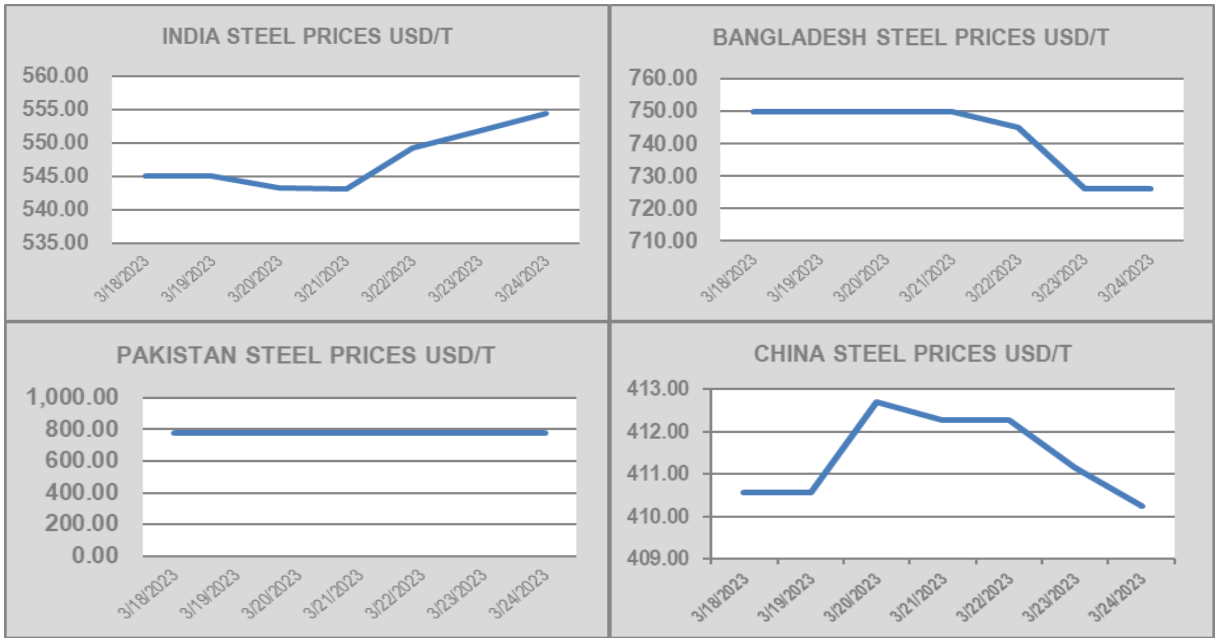
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
3/18/2023	544.99	45,000.00	777.39	220,000.00	750.00	78,000.00	410.56
3/19/2023	544.99	45,000.00	777.39	220,000.00	750.00	78,000.00	410.56
3/20/2023	543.32	44,900.00	777.39	220,000.00	750.00	78,000.00	412.70
3/21/2023	543.19	44,900.00	777.39	220,000.00	750.00	78,000.00	412.29
3/22/2023	549.24	45,400.00	777.39	220,000.00	745.19	77,500.00	412.29
3/23/2023	551.91	45,400.00	777.39	220,000.00	725.96	75,500.00	411.15
3/24/2023	554.41	45,600.00	777.39	220,000.00	725.96	75,500.00	410.24



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